

SUPPLEMENT DATED 15 NOVEMBER, 2010 TO THE PROSPECTUS DATED 3 NOVEMBER, 2010

BANCO ESPÍRITO SANTO, S.A.

*(incorporated with limited liability in Portugal)
(acting through its head office or its Madeira Free Trade Zone branch
or its Cayman Islands branch or its London branch)*

and

BES Finance Ltd.

(incorporated with limited liability in the Cayman Islands)

unconditionally and irrevocably guaranteed by

BANCO ESPÍRITO SANTO, S.A.

*(incorporated with limited liability in Portugal)
(acting through its London branch)*

€20,000,000,000 Euro Medium Term Note Programme

This Supplement (the "**Supplement**") to the Prospectus (the "**Prospectus**") dated 3 November, 2010 constitutes a supplement to the base prospectus for the purposes of article 13 of Part II of the Luxembourg act dated 10th July, 2005 relating to prospectuses for securities (the "**Prospectus Act**") and is prepared in connection with the €20,000,000,000 Euro Medium Term Note Programme (the "**Programme**") established by Banco Espírito Santo, S.A. (the "**Bank**" or "**BES**") and BES Finance Ltd. ("**BES Finance**"). Terms defined in the Prospectus have the same meaning when used in this Supplement. This Supplement is supplemental to, and should be read in conjunction with, the Prospectus issued by the Bank and BES Finance.

The purpose of this Supplement is to provide information regarding certain Recent Developments.

Each of the Bank and BES Finance accepts responsibility for the information contained in this Supplement. To the best of the knowledge of each of the Bank and BES Finance (who have taken all reasonable care to ensure that such is the case) the information contained in this Supplement is in accordance with the facts and does not omit anything likely to affect the import of such information.

1. Recent Developments

1.1 Rating Revision

On 8 November, 2010 the Bank informed the market that in a review of Portuguese Banks' ratings, Fitch Ratings ("**Fitch**") downgraded BES from A/Neg/F1 to BBB+/Neg/F2. Fitch states that the downgrade reflects increased funding and liquidity risks due to their high reliance on short and medium-term wholesale funding sources, with increased recourse to ECB funding, in the context of continued difficulties to access the capital markets, and deterioration in domestic performance and asset quality.

BES considers that the ratings assigned by Fitch do not reflect the sound position of the Bank. BES' deleveraging process, decreased use of ECB net facilities, currently non-existent medium and long term refinancing needs, very sound capital position, resilience of its earnings and prudent and sound risk management show that BES is in a strong position and can face the current challenges with a sound fundamental profile.

Furthermore, BES considers that there is no valid justification for a three notches downgrade in less than four months thus the Board of Directors has decided to terminate the contract with Fitch as a result of these rating actions.

Copies of this Supplement can be obtained from the registered office of the Bank and of BES Finance and from the specified office of the Paying Agent for the time being in Luxembourg.

In addition, copies of this Supplement are available for viewing at the Luxembourg Stock Exchange's website (www.bourse.lu).

To the extent that there is any inconsistency between (a) any statement in this Supplement and (b) any other statement in or incorporated by reference in the Prospectus, the statements in (a) above will prevail.

Save as disclosed in this Supplement, there has been no significant change in the financial or trading position of BES Finance since 30th June, 2010 and the Bank and the Group since 30th June, 2010.

There has been no material adverse change in the financial position or prospects of BES Finance or the Bank or the Group since 31st December, 2009.

Save as disclosed in this Supplement and any other supplements to the Prospectus, there has been no other significant new factor, material mistake or inaccuracy relating to information included in the Prospectus since the publication of the Prospectus.

In accordance with Article 13 paragraph 2 of the Luxembourg Law, investors who, before this supplement is published, have already agreed to purchase or subscribe for any Notes to be issued under the Programme, have the right, exercisable within a time limit of two working days after the publication of this supplement, to withdraw their acceptances.

Dated 15 November, 2010